

ContexAi Research Desk · Sourced via Reuters, CNBC, Business Recorder, Express Tribune, Mettis Global, AGBI, Gulf News, S&P Global, Kitco, SBP & Regulatory Trackers · For the C-Suite & HNW Investor · **V** = verified vs licensed media/official portal · **EST.** = ContexAi desk estimate

KSE-100 V

170,765.22

▲ 0.16% Fri · +266 pts

S&P 500 V

▲ 0.51%

Nasdaq +0.5% · Dow +0.93%

US 10Y / 2Y V

5.17 / 4.81

19-yr high · hawkish Fed

BRENT / WTI V

\$104.32 / \$92.41

▼ Fri on truce hopes; Mon rebound ~\$105.8 (EST.)

GOLD V

\$4,280

+0.12% · silver \$64.04 (+0.33%)

USD/PKR V

277.34

interbank · rupee firms modestly

01 Five Things You Need To Know To Start Your Day

KSE-100 NOTCHES A THIRD STRAIGHT GAIN

The **KSE-100** added 266.28 points (+0.16%) on Friday to close at 170,765.22, its third consecutive positive session, after swinging between an intraday high of 171,159.73 and a low of 169,890.56. KSE-100 volume eased to 212.46 million shares while broader-market turnover fell to 482.76 million shares (from 759.97 million) on traded value of Rs19.28 billion, with 57 stocks advancing against 41 decliners and 2 unchanged. Commercial banks (+161.84 index points), OMCs (+55.64) and cement (+52.48) led, with HBL (+71.32), UBL (+37.69), BAFL (+34.81), BAHF (+34.36) and PSO (+27.53) the top individual contributors; PSO also confirmed a Rs10/share dividend alongside lower quarterly earnings. Technology & communication, power generation and pharmaceuticals lagged, dragged by MEBL (-56.63), FFC (-38.25) and HUBC (-21.44). Arif Habib's Ali Najib said the index "traded in both directions before ending on a flattish note ahead of the weekend." [The Express Tribune](#) and [Mettis Global](#) confirm the print. Sentiment: **grinding higher on narrow breadth**.

WALL STREET CLOSES OUT A STRONG WEEK

US equities finished Friday higher across the board: the **S&P 500 rose 0.51% to 7,743.41**, the **Dow gained 478.64 points (+0.93%) to 51,828.62**, and the **Nasdaq Composite added 0.5% to 27,068.72**, with all three notching weekly gains as fresh tech optimism offset a bruising bond sell-off and easing oil prices into the close. [Yahoo Finance](#) and [TheStreet](#) confirm the closes. Sentiment: **firmer into the weekend**.

10-YEAR YIELD HITS A FRESH 19-YEAR HIGH

The **10-year Treasury yield finished Friday at 5.17%**, its highest since 2007, while the **2-year ended at 4.81%**, as markets continued to price roughly a 70% chance of a further Fed hike at the 27-28 October FOMC meeting under Chair Kevin Warsh's hawkish stance. [Advisor Perspectives](#) and [Trading Economics](#) confirm the levels. Sentiment: **hawkish, multi-decade high**.

OIL SNAPS BACK AS TRUMP REJECTS IRAN'S HORMUZ OFFER

Brent settled Friday at \$104.32 and **WTI at \$92.41**, both down roughly 2% on the session as hopes of a US-Iran truce briefly cut the war premium, but crude reversed sharply on Monday — **Brent trading back near \$105.76 (+1.4% EST.)** and **WTI near \$94.10 (+1.8% EST.)** — after President Trump confirmed he had rejected Tehran's latest proposal to reopen the Strait of Hormuz within seven days. [EnergyNow](#) and [CNBC](#) confirm. Sentiment: **volatile, geopolitically driven**.

GOLD HOLDS NEAR \$4,280, SILVER LEADS THE COMPLEX

Gold edged up 0.12% to \$4,280.19 and **silver gained 0.33% to \$64.04** on Friday, with silver outperforming as physical demand offset a yield-driven cap on the week's gains for the broader metals complex. [USAGOLD](#) and [Kitco](#) confirm the closes. Sentiment: **firm, silver outperforming**.

02 Regional Market & Economic Matrix

A. Local Market — Pakistan Focus

Pakistan's tape stayed constructive: the **KSE-100** logged a third straight gain, up 0.16% to 170,765.22, led by banks and OMCs even as breadth stayed narrow (57 advancers vs 41 decliners). The backdrop is dominated by the **IMF's fourth EFF / third RSF review mission**, led by Iva Petrova, which arrived in Islamabad on 23 September for a near two-week visit running into early October — examining fiscal performance (mostly on track but for a revenue shortfall) and flagging government intervention in wheat and sugar markets as a policy slippage, alongside the **Sovereign Wealth Fund (Amendment) Bill, 2026** still before the Senate Standing Committee on Finance and Revenue. **August CPI held at 11.15% y/y**, well above the SBP's 5-7% target band; the **SBP kept its policy rate at 11.5%** at its 14 September MPC, with 6-month KIBOR at 11.72/11.97% (bid/offer) as of 22 September. Successful completion of the review could unlock roughly \$1 billion under the EFF and \$200 million under the RSF by late November/early December. [Dawn](#) and [Mettis Global](#) confirm.

B. GCC & Middle East

Gulf non-oil momentum remains a bright spot against a fraught energy backdrop: **Saudi Arabia's PMI held at a six-month high of 53.8 in August** (from 53.1 in July), while the **UAE's non-oil PMI hit 55.3** (from 52.7), its fastest pace since December 2024. That resilience is being tested again: **President Trump rejected Iran's latest proposal to reopen the Strait of Hormuz** within seven days, sending Brent back above \$105 on Monday, while the region is still absorbing the fallout from Houthi missile and drone strikes on Saudi energy and industrial infrastructure earlier this month. **OPEC+'s Joint Ministerial Monitoring Committee holds its 68th meeting on 4 October** to review production policy against constrained Gulf spare capacity, and Saudi's **PIF continues executing its 2026-2030 strategy** — approved by the Crown Prince in April — across travel & tourism, NEOM, advanced manufacturing and clean energy. [Arab News](#) and [Al Jazeera](#) confirm.

C. Global Intelligence

The dominant global theme stays the bond market: the **10-year Treasury yield's climb to 5.17%**, a 19-year high, reflects Chair Kevin Warsh's hawkish path and October hike odds near 70% on CME-tracked pricing — yet Wall Street still closed out the week higher on fresh tech optimism. Crude is the other swing factor: Friday's dip on US-Iran truce hopes reversed Monday as **Trump rejected Tehran's Hormuz-reopening proposal**, pushing Brent back toward \$106. Separately, Washington's tariff agenda widens on 29 September, when the **100% Section 232 duty on patented pharmaceuticals and APIs extends to all remaining importers** beyond the large firms already covered since July, with generics and biosimilars still exempt pending a mandated one-year review. [Advisor Perspectives](#) and [Federal Register](#) confirm.

03 Legislative & Regulatory Tracker — Who Wins, Who Loses

Jurisdiction	Legislation / Policy Change	Affected Sector(s)	Net Impact & Strategic Outlook
Local — Pakistan	Pakistan Sovereign Wealth Fund (Amendment) Bill, 2026 — remains with the Senate Standing Committee on Finance and Revenue as the IMF's 4th EFF / 3rd RSF review mission examines the proposed governance and disclosure amendments in Islamabad through early October	SOEs, sovereign fund governance, banks	Wins: institutional investors, IMF programme compliance, transparency advocates. Losses: SOE management facing tighter oversight, patronage-linked appointments.
GCC	OPEC+ Joint Ministerial Monitoring Committee (68th meeting), 4 October 2026 — to review Gulf production policy as the Strait of Hormuz remains contested after Trump's rejection of Iran's reopening proposal	Oil & gas, tankers/ logistics, sovereign budgets	Wins: Gulf producers with alternate export routes, non-oil diversification plays (tourism, construction) on resilient PMIs. Losses: export-constrained Gulf energy exporters absorbing Hormuz-linked shut-ins.
Global	Section 232 pharmaceutical tariffs — the 100% duty on patented drugs and active pharmaceutical ingredients extends to all remaining importers from 29 September 2026, having applied to large Annex III companies since 31 July	Pharmaceuticals, healthcare supply chains	Wins: Annex III/onshoring pharma manufacturers with MFN pricing deals (exempt to 2029), generics and biosimilars (exempt pending review). Losses: mid-size and smaller branded importers newly facing the 100% duty.

04 The Day Ahead — KSE-100 Levels & Desk Stance

SUPPORT EST.

169,900

Friday's intraday low; deeper support at 168,700

PIVOT EST.

170,765

Friday's close

RESISTANCE EST.

171,160

Friday's intraday high; then 172,491 (Thursday's high)

The desk reads Friday's 0.16% gain as a **continuation of the three-session recovery rather than a fresh breakout**, with breadth narrowing (57 advancers vs 41 decliners) and volume thinning to 212 million shares as investors squared positions ahead of the weekend. The overnight and weekend tape complicates the open: **Brent's reversal back toward \$106** after Trump rejected Iran's Hormuz proposal, alongside a 19-year-high 10-year Treasury yield and roughly 70% odds of an October Fed hike, argue for a cautious, energy- and rate-sensitive session. A close above 171,160 would extend the recovery toward Thursday's 172,491 high; a break below 169,900 opens room toward 168,700. All levels are indicative desk estimates, not recommendations.

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